

COVER SHEET

for

AUDITED FINANCIAL STATEMENTS

SEC Registration Number

C	S	2	0	1	6	0	4	8	5	1
---	---	---	---	---	---	---	---	---	---	---

COMPANY NAME

M	I	N	D	T	E	C	K		S	O	L	U	T	I	O	N	S		P	H	I	L	I	P	P	I	N	E	S
I	N	C	.																										

PRINCIPAL OFFICE (No./Street/Barangay/City/Town/Province)

U	N	I	T		7	1	0		T	H	E		B	S	A		T	O	W	E	R	S		C	O	N	D	O	M
I	N	I	U	M		B	A	N	K		D	R	I	V	E		O	R	T	I	G	A	S		C	E	N	T	E
R		B	R	G	Y		W	A	C	K	-	W	A	C	K		M	A	N	D	A	L	U	Y	O	N	G		
C	I	T	Y																										

Form Type

A	A	F	S
---	---	---	---

Department requiring the report

--	--	--	--

Secondary License Type, If Applicable

--	--	--	--

COMPANY INFORMATION

Company's Email Address

hvr_rgr@yahoo.com

Company's Telephone Number/s

--

Mobile Number

09175634298

No. of Stockholders

6

Annual Meeting
Month/Day

September 15

Fiscal Year
Month/Day

03/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Adan Delamide

Email Address

DLO_DLQProfessionals.com

Telephone Number/s

465-9243

Mobile Number

09175312326

CONTACT PERSON'S ADDRESS

20/F Zuellig Building, Paseo De Roxas corner Makati Avenue, Makati City

Note 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

MINDTECK SOLUTIONS PHILIPPINES, INC.

Financial Statements
March 31, 2018 and 2017

and

Report of Independent Auditor

CHARISSE PAREDES BACURIO

Certified Public Accountant

Blk 3 Lot 31, Vicenza 4, Citta Italia Subd.,
Brgy. Mambog 3, Bacoor, Cavite, 4102

REPORT OF INDEPENDENT AUDITOR

The Stockholders and Board of Directors
Mindteck Solutions Philippines, Inc.
Unit 710, The BSA Towers Condominium, Bank Drive
Ortigas Center, Brgy. Wack-wack, Mandaluyong City

Report on the Audit of the Financial Statements

Opinion

I have audited the financial statements of Mindteck Solutions Philippines, Inc., which comprise the statements financial position as of March 31, 2018 and 2017, and the statements of income, statements of changes in equity and statements of cash flows for the years then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory notes.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of March 31, 2018 and 2017, and its financial performance and its cash flows for the years then ended, in accordance with Philippine Financial Reporting Standards for Small and Medium-sized Entities (PFRS for SMEs).

Basis for Opinion

I conducted my audit in accordance with Philippine Standards on Auditing (PSAs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of the Company in accordance with the ethical requirements that are relevant to my audit of the financial statements in the Philippines, the Code of Ethics for Professional Accountants in the Philippines, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRS for SMEs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

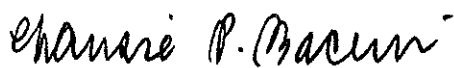
As part of an audit in accordance with PSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions is based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Report on the Supplementary Information Required Under Revenue Regulations 15-2010

The supplementary information required Revenue Regulations 15-2010 for purposes of filing with the Bureau of Internal Revenue is presented by the management of Mindteck Solutions Philippines, Inc. in a separate schedule. Revenue Regulations 15-2010 require the information to be presented in the notes to financial statements. Such information is not a required part of the basic financial statements. The information has been subjected to the auditing procedures applied in my audit of the basic financial statements. In my opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.



Charisse P. Bacurio

CPA Certificate No. 116026

BIR Accreditation No. 09-005781-001-2016,

October 27, 2016, valid until October 26, 2019

BOA Accreditation No. 5320, valid until December 31, 2018

Tax Identification No. 242-198-560-000

PTR No. 1365408, January 11, 2018, Bacoor City, Cavite

August 1, 2018

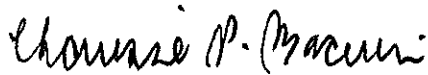
CHARISSE PAREDES BACURIO
Certified Public Accountant
Blk 3 Lot 31, Vicenza 4, Citta Italia Subd.,
Brgy. Mambog 3, Bacoor, Cavite, 4102

REPORT OF INDEPENDENT AUDITOR

The Stockholders and Board of Directors
Mindteck Solutions Philippines, Inc.
Unit 710, The BSA Towers Condominium, Bank Drive
Ortigas Center, Brgy. Wack-wack, Mandaluyong City

I have audited the financial statements of Mindteck Solutions Philippines, Inc. as of March 31, 2018 and 2017 and for the years then ended, on which I have rendered the attached report dated August 1, 2018.

In compliance with Securities Regulation Code Rule 68, I am stating that the above Company has one (1) stockholder owning one hundred or more shares.



Charisse P. Bacurio
CPA Certificate No. 116026
BIR Accreditation No. 09-005781-001-2016,
October 27, 2016, valid until October 26, 2019
BOA Accreditation No. 5320, valid until December 31, 2018
Tax Identification No. 242-198-560-000
PTR No. 1365408, January 11, 2018, Bacoor City, Cavite

August 1, 2018

CHARISSE PAREDES BACURIO

Certified Public Accountant

Blk 3 Lot 31, Vicenza 4, Citta Italia Subd.,
Brgy. Mambog 3, Bacoor, Cavite, 4102

**REPORT OF INDEPENDENT AUDITOR
TO ACCOMPANY INCOME TAX RETURN**

The Stockholders and Board of Directors
Mindteck Solutions Philippines, Inc.
Unit 710, The BSA Towers Condominium, Bank Drive
Ortigas Center, Brgy. Wack-wack, Mandaluyong City

I have audited the financial statements of Mindteck Solutions Philippines, Inc. as of and for the year ended March 31, 2018, on which I have rendered the attached report dated August 1, 2018.

In compliance with Revenue Regulations V-20, I am stating that I am not related by consanguinity or affinity to the president, manager or principal stockholders of the Company.

Charisse P. Bacurio

Charisse P. Bacurio

CPA Certificate No. 116026

BIR Accreditation No. 09-005781-001-2016,

October 27, 2016, valid until October 26, 2019

BOA Accreditation No. 5320, valid until December 31, 2018

Tax Identification No. 242-198-560-000

PTR No. 1365408, January 11, 2018, Bacoor City, Cavite

August 1, 2018

MINDTECK SOLUTIONS PHILIPPINES, INC.
STATEMENTS OF FINANCIAL POSITION

	March 31	
	2018	2017
ASSETS		
Current Assets		
Cash (Note 4)	₱818,487	₱4,228,266
Receivables (Note 5)	191,956	441,499
Prepayment and other current assets (Note 6)	749,722	520,280
Total Current Assets	1,760,165	5,190,045
Noncurrent Assets		
Property and equipment (Note 7)	611,397	792,151
TOTAL ASSETS	₱2,371,562	₱5,982,196
LIABILITIES AND EQUITY		
Current Liabilities		
Payables (Note 8)	₱22,391	₱36,640
Equity		
Capital stock - ₱1 par value per share		
Authorized - 10,000,000 shares		
Issued and outstanding - 9,400,000 shares	9,400,000	9,400,000
Retained earnings	(7,050,829)	(3,454,444)
Total Equity	2,349,171	5,945,556
TOTAL LIABILITIES AND EQUITY	₱2,371,562	₱5,982,196

See accompanying Notes to Financial Statements.

MINDTECK SOLUTIONS PHILIPPINES, INC.
STATEMENTS OF INCOME

	Years ended March 31	
	2018	2017
REVENUE	P—	P—
COST OF SERVICES	—	—
GROSS PROFIT	—	—
OPERATING EXPENSES		
Personnel cost	1,091,292	949,303
Rental	1,045,751	893,576
Dues and subscriptions	729,336	803,214
Representation and entertainment	276,287	294,784
Depreciation	180,754	111,621
Communication	64,181	63,335
Transportation and travel	56,171	89,603
Utilities	50,093	37,795
Professional Fees	35,000	50,000
Fuel and Oil	27,348	35,845
Repairs and maintenance	18,180	10,138
Taxes and Licenses	17,558	71,968
Office Supplies	5,968	33,016
Bank Charges	700	24,100
Miscellaneous	2,622	—
	3,601,241	3,468,298
OTHER INCOME		
Interest income	4,857	13,854
NET LOSS	(P3,596,384)	(P3,454,444)

See accompanying Notes to Financial Statements.

MINDTECK SOLUTIONS PHILIPPINES, INC.
STATEMENTS OF CHANGES IN EQUITY

	Capital Stock	Retained Earnings	Total
Balances as of March 31, 2016	₱9,400,000	₱—	₱9,400,000
Net loss for the year	—	(3,454,444)	(3,454,444)
Balances as of March 31, 2017	9,400,000	(3,454,444)	5,945,556
Net loss for the year	—	(3,596,384)	(3,596,384)
Balances as of March 31, 2018	₱9,400,000	(₱7,050,828)	₱2,349,172

See accompanying Notes to Financial Statements.

MINDTECK SOLUTIONS PHILIPPINES, INC.
STATEMENTS OF CASH FLOWS

	Years Ended March 31	
	2018	2017
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	(P3,596,385)	(P3,454,444)
Adjustments for:		
Depreciation	180,754	111,621
Interest income	(4,857)	(17,318)
Operating income before changes in working capital:	(3,420,488)	(3,360,141)
Decrease (increase) in:		
Receivables	249,543	(441,499)
Prepayment and other current assets	(229,442)	(520,280)
Increase (decrease) in payables	(14,249)	36,640
Net cash used in operations	(3,414,636)	(4,285,280)
Interest received	4,857	17,318
Net cash flows used in operating activities	(3,409,779)	(4,627,962)
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of property and equipment	—	(903,772)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from issuance of capital stock	—	—
NET DECREASE IN CASH	(3,409,779)	(5,171,734)
CASH AT BEGINNING OF YEAR	4,228,266	9,400,000
CASH AT END OF YEAR	P818,487	P4,228,266

See accompanying Notes to Financial Statements.

MINDTECK SOLUTIONS PHILIPPINES, INC.

NOTES TO FINANCIAL STATEMENTS

1. Corporate Information

Mindteck Solutions Philippines, Inc. (the Company) is a domestic corporation duly organized and existing under the laws of the Republic of the Philippines. It was registered with the Security and Exchange Commission on March 8, 2016 to engage in the business of development of computer software and hardware, including maintenance thereof, data communication, handling and managing computer data, data processing, data storage and related services like contracting, programming, information technology consultancy, hardware supply, delivery and maintenance and doing any and all things necessary.

The Company's principal address is at Unit 710, The BSA Towers Condominium, Bank Drive, Ortigas Center, Brgy. Wack-wack, Mandaluyong City.

The accompanying financial statements were approved and authorized for issue by the Board of Directors (BOD) on August 1, 2018.

2. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below:

Basis of Preparation

The accompanying financial statements of the Company have been prepared on a historical cost basis and are presented in Philippine pesos. All values are rounded to the nearest peso, except when otherwise indicated.

Statement of Compliance

The Company's financial statements have been prepared in accordance with the Philippine Financial Reporting Standards for Small and Medium-sized Entities (PFRS for SMEs).

Cash

Cash includes cash on hand and in banks. Interest income earned on bank accounts is presented net of final tax.

Receivables

Trade and other receivables are recognized initially at the transaction price. They are subsequently measured at amortized cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

Prepayments

Prepayments are expenses paid in advance and recorded as asset before they are utilized. This account comprises of prepaid insurance premiums and other prepaid items and creditable withholding taxes. Prepaid insurance premiums and other prepaid items are apportioned over the period covered by the payment and charged to the appropriate accounts in profit or loss when incurred. Creditable withholding tax is deducted from income tax payable.

Property and Equipment

Property and equipment are stated at historical cost less accumulated depreciation, amortization and any accumulated impairment losses.

The Company adds to the carrying amount of an item of property and equipment the cost of replacing parts of such an item when that cost is incurred if the replacement part is expected to provide incremental future benefits to the Company. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit and loss during the period in which they are incurred.

Depreciation on other assets is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

The assets' residual values, useful lives and depreciation and amortization methods are reviewed, and adjusted prospectively if appropriate, if there is an indication of significant change since the last reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the assets' carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognized within 'other income (charges) - net' in the statement of income and retained earnings.

Impairment of Non-Financial Assets

Assets that are subject to depreciation or amortization are assessed at each reporting date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit to which the asset has been allocated) is tested for impairment. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's (or CGU's) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

Payables

Trade payables - are liabilities to pay for goods or services that have been received or supplied and have been invoiced or formally agreed with the supplier. Trade payables are non-interest bearing and recognized initially at the transaction price and subsequently measured at amortized cost using the effective interest method.

Other payables - includes accruals which are liabilities to pay for goods or services that have been received or supplied but have not been paid, invoiced or formally agreed with the supplier, including amount due to employees and to government agencies. It is necessary to estimate the amount or timing of accruals, however, the uncertainty is generally much less than for provisions.

Value-added Tax (VAT)

Revenues, expenses, assets and liabilities are recognized net of the amount of VAT, except where the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the VAT is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of "Other current assets" or "Trade and other payables" in the balance sheet.

Equity

Capital stock is recognized as issued when the share is paid for or subscribed under a binding subscription agreement and is measured at par value.

Retained Earnings

Retained earnings represent the cumulative balance of net income or loss, dividend distributions, effects of changes in accounting policy and other capital adjustments.

Revenue Recognition

Revenue is measured at the fair value of the consideration received or receivable and represents amount receivable for the services provided in the normal course of the Company's ordinary activities, net of discounts, sales related taxes.

The Company recognizes revenue when the amount of revenue and related cost can be reliably measured, it is probable that the collectability of the related receivables is reasonably assured and when the specific criteria for each of the Company's ordinary activities are met as follows:

- i. Professional services are revenue from fixed price contracts is recognized under the percentage-of-completion method.
- ii. Annual maintenance support and network are revenue recognized on a straight-line basis over the term of the contracts.

Interest income

Interest is recognized as the interest accrues on a time proportion basis taking into account the effective yield on the asset.

Cost of Services

Cost of services includes the software development and service costs, as well as costs that are directly attributable in the services performed.

Operating Expenses

Operating expenses constitutes costs of administering the business. These are recognized as expenses when it is probable that a decrease in future economic benefits related to a decrease in an asset or an increase in a liability has occurred and the decrease in economic benefits can be measured reliably.

Operating Lease

Leases of office premise where substantially all risks and rewards incidental to ownership are retained by the lessors are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessors) are recognized in profit or loss on a straight-line basis over the period of the lease.

Income Taxes

Income tax on profit or loss for the year comprises current and deferred tax. Income tax is determined in accordance with Philippine tax laws. Income tax is recognized in the profit and loss, except to the extent that it relates to items recognized directly in other comprehensive income.

Current income tax

Current income tax is the expected tax payable on the taxable income for the period using the tax rate enacted at the statement of financial position date, together with adjustments to tax payable in respect to prior years.

Deferred income tax

Deferred income tax is provided, using the balance sheet liability method, on all temporary differences at the statement of financial position date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluation. Deferred tax assets are recognized for all the deductible temporary differences, carry forward of unused tax credits from excess minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against the deductible temporary differences and carry forward of unused MCIT and unused NOLCO can be utilized.

The carrying amount of deferred tax assets is reviewed at each statement of financial position date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of deferred income tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each statement of financial position date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable Company and the same taxation authority.

Deferred tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the statement of financial position date.

Events After Statement of Financial Position Date

Any post year-end events that provide additional information about the Company's financial position at the statement of financial position date (adjusting events), are reflected in the financial statements. Post year-end events that are not adjusting events, if any, are disclosed when material, in the notes to the financial statements.

3. Critical Estimates and Judgments

In preparation of the financial statements in conformity with PFRS for SME's requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of relevant facts and circumstances as of the date of the financial statements. Actual results could differ from such estimates.

Judgments

In the process of applying Company's policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

Going Concern

The management of the Company has made an assessment of the Company's ability to continue as a going concern and is satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the Company is not aware of any material uncertainties that may cast significant doubts upon the Company's ability to continue as going concern. Therefore, the financial statements continue to be prepared on a going concern basis.

Estimates

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the statement of financial position date, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year.

Impairment of Property and Equipment

The Company assesses impairment of its property and equipment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable.

During the year, the Company has not determined any impairment indicators on its property and equipment.

4. **Cash**

	2018	2017
Cash on hand	₱818,487	₱4,228,266

5. **Receivables**

	2018	2017
Advances to affiliate	₱191,956	₱441,499

6. **Prepayment and Other Current Assets**

	2018	2017
Prepaid rent	₱171,842	₱186,717
Input VAT	327,812	83,494
Refundable rent deposit	250,068	250,068
	₱749,722	₱520,068

7. Property and Equipment

As of March 31, 2018

	Leasehold Improvement	Office Furniture	Office Equipment	2018
Cost	P613,499	P185,901	P104,372	P903,772
Accumulated Depreciation				
Beginning balance	75,032	21,689	14,900	111,621
Depreciation	127,700	37,180	20,874	180,754
Ending balance	197,732	58,869	35,774	292,375
Book Values	P415,767	P127,032	P68,597	P611,397

As of March 31, 2017

	Leasehold Improvement	Office Furniture	Office Equipment	2017
Cost	P613,499	P185,901	P104,372	P903,772
Accumulated Depreciation	75,032	21,689	14,900	111,621
Book Values	P538,467	P164,212	P89,471	P792,151

8. Payables

	2018	2017
Government agencies remittances	P22,391	P36,640

9. Income Taxes

The Company has no provision for income tax-current for 2017 as it is in net loss position.

The Company did not recognize deferred tax asset on net operating loss carry-over (NOLCO). The details of NOLCO that can be claimed as deduction from future taxable income and used against payment of regular income tax, within the next three years, follows:

Year Incurred	Date	Amount	Applied	Expired	Balance
2017	2020	P3,454,444	P-	P-	P3,454,444
2018	2021	3,596,384	-	-	3,596,384
		P7,050,828	P-	P-	P7,050,828

MINDTECK SOLUTIONS PHILIPPINES, INC.
SUPPLEMENTARY TAX INFORMATION UNDER
REVENUE REGULATIONS 15-2010

The Company reported and/or paid the following types of taxes in 2018:

Output Value Added Tax (VAT)

The Company has no sale for the year ended March 31, 2018.

Input VAT

The movement of Input VAT in March 2018 is summarized below:

	Tax Base	VAT
At April 1	₱695,784	₱83,494
Current year's purchases		
Goods other than resale or manufacture	3,885	466
Services lodged under other accounts	2,032,098	243,852
Applied to output VAT	-	-
At March 31	₱2,731,767	₱327,812

Taxes and Licenses

The detail of taxes and licenses is broken down as follows:

	2018
Business Permit	₱17,558

Withholding Taxes

The details of total withholding taxes for the year ended March 31, 2018 are shown below.

	2018
Compensation	₱231,193
Expanded	59,760
	₱290,953

Tax Assessments and Cases

The Company has no deficiency tax assessments, whether protested or not. The Company has not been involved in any tax cases under preliminary investigation, litigation and/or prosecution in courts or bodies outside the BIR.